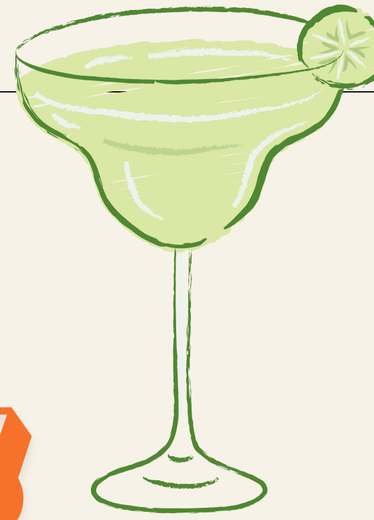




21 SEEDS

Taking shots at Breakout Growth

Team 4



Shweta Mittal



Pranay Reddy



Nethra Prakash



Nishita Harsh



Murphy Ji

From scrappy startup to Diageo's bet - what's the right path to scale?



THE BRAND

Infused tequila for women

3 flavors, wine-bottle packaging, positioned as a low-cal wine substitute for women in their 30s-40s

THE SUCCESS

0 → 66K cases in 3 years

No alcohol experience, minimal budget, skipped bars entirely, grew through retail and social media

THE SITUATION

Acquired by Diageo, 2022

Placed in Breakout Growth Division with aggressive targets and competitors now copying the playbook

Key question:
How should 21Seeds allocate a limited budget across product, distribution, and marketing to achieve breakout growth without losing what made it work?

The 5C’s Diagnostic



Company

Product: Three infused tequila flavors, led by Cucumber Jalapeño (50% of sales).
Strength: Lower alcohol content (35% ABV) and smoother taste than traditional tequila.
Performance: 66,125 cases sold in 2021. 3x higher repurchase rate among female customers.

Context

Industry Trends: Global growth driven by premiumization and the Health & Wellness shift (favoring lower ABV/calorie options).
Category Growth: Tequila is one of the fastest-growing spirits categories.
RTD Market: A $21.7B high-growth market offering a natural fit for 21Seed’s product attributes

Customer

Core Target: Underserved segment of women in their 30s-40s, many of whom are moms.
Motivation: Seeking lower calories, smoother flavor, and align with the 'Tell It Like It Is' brand identity.
Occasion: Casual consumption for "relax and unwind" with friends or at home.

Collaborator

Parent Company: Diageo provides capital, vast distribution scale, and placement in the Breakout Growth Division.
Channels: Primary focus remains Off- Premise retail (86% mix post-acquisition).
Support: Diageo's DHIP team aids in expanding On-Premise distribution and bartender education.

Competitors

Direct Rivals: Low-priced flavored tequila entrants like Antaño and Painted Donkey.
Large Brands: Established players (Cuervo, Smirnoff) launching similar flavored products, validating the segment.
RTD Market: Competition from Hard Seltzers (White Claw, High Noon) and other low-ABV options.

Perceptual Mapping



SIPPING RITUAL

Patron

Don Julio

DeLeon

Casamigos

818

Astral

Teremana

MASCULINE

FEMININE

Cuervo 1800Cuc-Jal

WHITESPACE

Antano

El Padrino

Painted Donkey

21 Seeds

WINE OCCASION

Incumbents

New Flavour Entrants

21 Seeds

Total Wine Private Label

Zones to Win



Incubation Zone

Nail the Playbook

21 Seeds

- Protect the core female consumer
- Engagement over impressions
- Founder story stays central

Performance Zone

Scale the playbook

21 Seeds

- Full Diageo media + distribution scale
- Broader demographics, adjacent channels
- Celebrity, RTD, international, unlocked

From **66K** to **500K+** cases, from **10% to 25%+** awareness, from **negative to sustainably positive margin**, that's the graduation gate

The Strategic Dilemma

Hold $32.99 or match the $25 private-label floor? The data makes the answer clear.

Current State

$32.99

Retail Price per Bottle

Super-premium tier — signals quality and justifies the brand story.

Producer Margin	**49.0%**
GP per Bottle	**$7.69**
Annual Gross Profit	**$6.1M**
Repeat Rate	**3× Industry**

If We Match $25

$25.00

Private-Label Price Floor

Antaño & El Padrino — same flavors, $8–$13 cheaper. Validate, don't copy.

Producer Margin	**32.7%**
GP per Bottle	**$3.55**
Annual Gross Profit	**$2.8M**
Brand Signal	**Commoditised**

Why Hold $32.99

Three numbers make the case:

3×

Repeat Rate

Customers reorder 3× more than industry average. They pay for brand, not price.

~$3M

GP at Risk

Original team understated at $2.2M. Correct figure funds the growth strategy.

49%

Margin Today

Funds the $8M plan entirely. Drop to 32.7% and the math collapses.

⚠ **VERDICT:** Maintain $32.99. A 3× repeat rate proves customers pay the premium willingly. Price-matching destroys the margin that funds growth and signals the brand has no pricing power.

How to Deploy the $8M

21Seeds has strong retail distribution but only 10% awareness. Getting people to taste the product is the fastest fix.

TOTAL YEAR 1 MARKETING BUDGET (USD)

$8,000,000

***50% on-premise trial + 50% off-premise defense. Both sides are non-negotiable.* 50% + 50%**

On-Premise Distribution

50% · $4,000,000

Highest-ROI channel for a brand with <10% awareness. Get consumers to taste it — they convert at retail.

54%

Trial→Purchase Conversion

54% of on-premise tasters become retail buyers. No other channel comes close.

65%

of Cocktail Orders are Margaritas

Cucumber Jalapeño IS the Spicy Margarita — in 3 ingredients, not 7.

3v7+

Ingredients vs. Standard Recipe

Simpler prep = more bar placements. Consistent spice level every pour.

KPIs: Case Velocity/Account · On-Premise Penetration · Menu Mention Rate

Digital / Off-Premise Defense

50% · $4,000,000

Protects the retail base driving 90%+ of revenue. Keep the 3× repeat rate alive through engagement.

90%

Revenue from Off-Premise Today

Can't neglect it. Losing shelf velocity means losing distribution slots.

3×

Repeat Rate vs. Industry

Women who find 21Seeds keep buying it. Digital sustains that flywheel.

86%

Current Off-Premise Sales Mix

vs. 80/20 industry norm. Intentional — now needs digital to sustain velocity.

KPIs: Repeat Purchase Rate · Engagement Rate · Retail-Case Velocity (not impressions)

KEY SHIFT: The bottleneck is not REACH — it's TRIAL. 21Seeds is on the shelf. Consumers haven't tasted it yet. On-premise fixes that faster than any ad campaign.

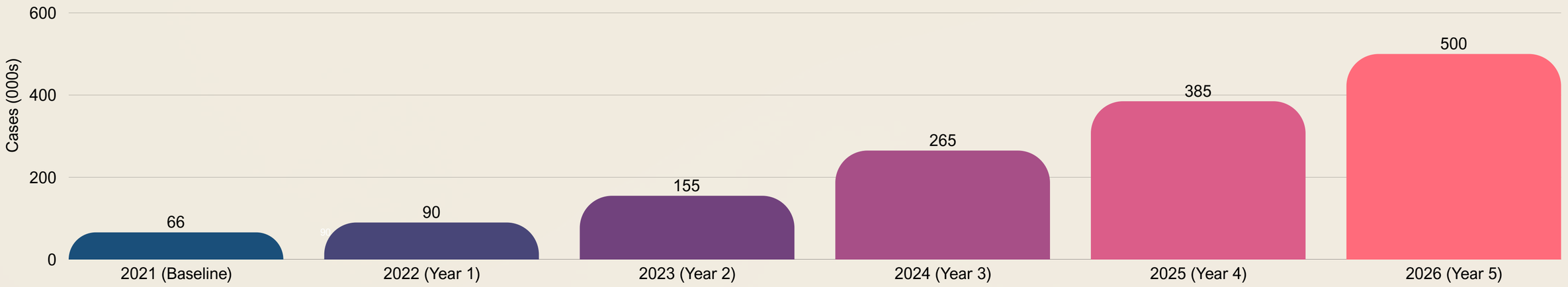
Pathway to 500,000 Cases

Three independent growth components build to 577K (model). Conservative Year 5 target: 500K — 50% of Teremana.

28.6% — Off-Premise Base Growth
2021 Baseline × 2.5× Multiplier
~20% CAGR — conservative vs. our 293% historical growth. Diageo distribution supports steady gains.
165,313 cases · 28.6% of total

62.3% — On-Premise Penetration
3,000 Accounts × 10 Cases/Month × 12
Biggest component and biggest assumption. Accounts and velocity range tested in Sensitivity tab.
360,000 cases · 62.3% of total
★ KEY ASSUMPTION

9.1% — Innovation & SKU Expansion
(Off + On) × 10% Incremental
50ml trial packs (sold out when tested) + 1.75L club sizes. No permanent new flavor needed.
52,531 cases · 9.1% of total



Model: 577,844 → Conservative Year 5 Target:

500,000 Cases

vs. peers: Casamigos 3.0M · Cuervo 1800 1.8M · Teremana 1.0M · 21Seeds target = 50% of Teremana

Protect the Premium
Hold $32.99 — the 49% margin funds everything.

Shift KPIs to Velocity
Cases/Store/Week + Menu Mention Rate. Not Impressions.

Lead with the Wedge
Cucumber Jalapeño into 3,000 on-premise accounts first.

Recommendation



Pursue a Distribution-First, On-Premise Growth Strategy to Reach ~500K Case

RATIONALE

- **Addresses Low Brand Awareness:** With awareness below 10%, on-premise venues provide the fastest path to consumer trial and discovery.
- **Targets the #1 Cocktail Moment:** Margaritas lead US cocktail consumption; Cucumber Jalapeño already accounts for ~50% of brand revenue.
- **Defends Premium Margin:** Holding price protects the ~49% gross margin, RTDs compress both margin and brand equity.
- **Reinforces Real-Fruit Positioning:** Menu presence validates authenticity in a crowded flavored-tequila category.
- **Activates Diageo's Network:** Diageo can deploy rapidly across ~3,000 priority on-premise accounts to build velocity.

EXECUTION PLAN

1

Accelerate On-Premise Expansion

Secure '21Seeds Spicy Margarita' placement in casual dining, bars, hotels, rooftops, and high-volume chains.

Year 1

2

Strengthen Off-Premise Velocity

Use digital content, in-store activation, and shopper marketing to convert on-premise trial into sustained retail demand.

Year 2

3

Maintain Premium Pricing

Protect the 49% gross margin and reinforce the 'real fruit infused' premium-tequila positioning.

Year 3

4

Use Low-Risk Format Innovations

Introduce 50ml trial packs, 1.75L club sizes, and limited seasonal infusions to expand trial without SKU proliferation.

Year 4

5

Delay RTD Entry

RTDs dilute margin, require heavy CAC, and don't solve the core awareness issue. Revisit only after reaching 500K+ cases.

Year 5

Brand Risk & Mitigation Strategy



Channel Message Inconsistency

Risk: On-premise builds cocktail credibility, while Club Channel emphasizes volume and convenience. If unmanaged, the brand may send mixed signals

Mitigation： Develop a consistent cross-channel value proposition that emphasizes 21Seeds as an accessible premium tequila solution for simplified cocktail preparation across both on-premise and at-home consumption occasions

Overexpansion Beyond Core Consumer

Risk: Moving too quickly toward broader audiences may weaken the brand's original connection with women and wine-occasion drinkers

Mitigation: Anchor the core female consumer, while gradually expanding adjacent consumer groups through occasion-based cocktail consumption and shared at-home social settings

Low Awareness Relative to Distribution Growth

Risk: Expanding availability before demand is strong enough may reduce retail velocity and weaken buyer confidence

Mitigation: Use on-premise as a trial-building mechanism first, then reinforce discovery with Club Channel visibility and off-premise activation

Execution Complexity Across Channels

Risk: Bars, restaurants, retail chains, and club stores require different selling tools and consumer messaging

Mitigation: Roll out in phases: first high-fit chain restaurants and select club locations, then expand based on sales velocity, repeat purchase, and menu performance

Thank *you.*

